Examples of capital and revenue items

Capital expenditure	Revenue expenditure	Deferred revenue expenditure	Capital receipts	Revenue receipts
i) Purchase cost of fixed assets ii) Purchase cost of long term investments iii) Expenses to increase the earning capacity of fixed assets iv) Loan given to outsiders v) Cost of acquisition of goodwill, copyright, trademark, etc. vi) Installation expenditure of fixed assets vii) Expenses incurred for trial run of a machinery	i) Maintenance expenses of fixed assets ii) Insurance premium iii) Postage and stationery iv) Administrative, selling and distribution expenditure v)Advertisement expenditure, the benefit of which will accrue for one accounting period vi) Payment of honorarium vii) Annual subscription vii) Entertainment expenses	i) Heavy amount on advertisement. ii) Cost of major repairs on fixed assets	i) Life membership fees ii) Special donations received iii) Loan borrowed iv) Sale of fixed assets v) Contribution towards capital fund vi) Long term investment sold vii) Government grants. (specific purpose) viii) Amount received not in normal course of business	i) Sale proceeds of goods ii) Commission received iii) Sale of old news paper iv) Rent received v) Interest on investments vi) Government grants (general purpose) vii) Bad debts recovered

Illustration 1

State with reasons whether the following are capital or revenue expenditure:

(i) Expenses incurred in connection with obtaining a licence for starting the factory for ₹ 25,000.

(ii) A factory shed was constructed at a cost of ₹ 2,00,000. A sum of ₹ 10,000 had been incurred in the construction of temporary huts for storing building material.

(iii) Overhaul expenses of second-hand machinery purchased amounted to ₹ 5,000.

Solution

(i) It is a capital expenditure since it is incurred to acquire the right to carry on business.

(ii) Cost of construction of building including cost of temporary huts is capital expenditure.

(iii) It is a capital expenditure because overhaul expenses are incurred to put second-hand machinery in working condition to get long-term advantage.

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